

high-coupon bond offered at about par, wherein, for example, a 7% interest return is imagined to compensate for a distinctly inferior grade of security.¹⁰

Fallacy of the "Business Man's Investment." An issue of this type is commonly referred to in the financial world as a "business man's investment" and is supposedly suited to those who can afford to take some degree of risk. Most of the foreign bonds floated between 1923 and 1929 belonged in that category. The same is true of the great bulk of straight preferred stock issues. According to our view, such "business man's investments" are an illogical type of commitment. The security buyer who can afford to take some risk should seek a commensurate opportunity of enhancement in price and pay only secondary attention to the income obtained.

Reversal of Customary Procedure Recommended. Viewing the matter more broadly, it would be well if investors reversed their customary attitude toward income return. In selecting the grade of bonds suitable to their situation, they are prone to start at the top of the list, where maximum safety is combined with lowest yield, and then to calculate how great a concession from ideal security they are willing to make for the sake of a more attractive income rate. From this point of view, the ordinary investor becomes accustomed to the idea that the type of issue suited to his needs must rank somewhere below the very best, a frame of mind which is likely to lead to the acceptance of definitely unsound bonds, either because of their high income return or by surrender to the blandishments of the bond salesman.

It would be sounder procedure to start with minimum standards of safety, which all bonds must be required to meet in order to be eligible for further consideration. Issues failing to meet these minimum requirements should be automatically disqualified as straight investments, regardless of high yield, attractive prospects, or other grounds for partiality. Having thus delimited the field of eligible investments, the buyer may then apply such further selective processes as he deems appropriate. He may desire elements of safety far beyond the accepted minima, in

¹⁰ In an exceptional year such as 1921 strongly entrenched bonds were offered bearing a 7% coupon, due to the prevailing high money rates.